interviewers were my former boss in the prime minister's Economic Advisory Council, Rangarajan, and my current boss, the finance minister—two people who could evaluate my professional competence and personality traits even without an interview. In the event, the interview turned out to be a relaxed, informal discussion on a few professional topics. I can still recall a couple of issues that came up.

Chidambaram asked if I would back the idea of a Monetary Policy Committee (MPC) to decide on the Reserve Bank's monetary policy, thereby replacing the present arrangement where the governor makes the final call. Given the ongoing debate on constituting an MPC, this was prescient. We discussed the pattern in advanced countries, including the Federal Open Markets Committee in the US, the MPCs of the Bank of England (BoE) and the Bank of Japan (BoJ), and even the opaque system of the People's Bank of China. My substantive stance was that an MPC was the direction in which we must go but that the governor must have a veto, at least during the transition period until the institutional structure stabilized.

Chidambaram did not agree. His point was that the governor should see himself as the chairman of a corporate board and try to persuade the MPC members to his point of view. And if he failed to do that, he should defer to the majority view. I agreed with him but countered that the parallel with a corporate board would work only if the members of the MPC did not owe any allegiance to the government for their appointment. They might, given the institutional structures of our system, feel pressured to push the government's point of view in the MPC.

Another topic we discussed at length during the interview was bank branch delicensing. Under the regulation prevailing then, if a bank wanted to open a new branch at some place, it had to get a specific licence for that location from the Reserve Bank. Left to themselves, banks would prefer to expand in urban areas where the business is attractive, and tend to neglect rural areas. The Reserve Bank used the leverage of licensing to push banks to spread into rural areas.

I had first-hand exposure to this issue from my field postings in the early phases of my civil service career. We were handicapped in providing